

Aagaaz'2023

PLASTIFY

Empowering Sustainability, One Plastic Credit at a Time

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1

**BUSINESS
OVERVIEW
&
OPERATIONAL
FRAMEWORK**

2

**FINANCIAL
OUTLOOK:
SUSTAINING
GROWTH &
PROFITABILITY**

3

APPENDIX

PLASTIFY: SOLVING INDIA'S PLASTIC WASTE CHALLENGE

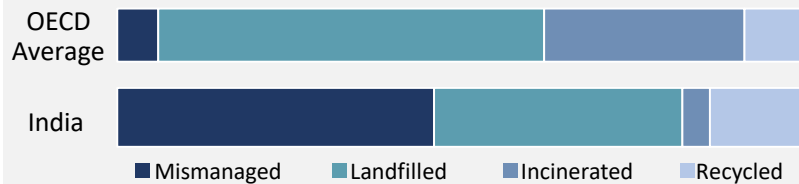
Addressing India's Plastic Waste Crisis and Market Entry Strategy

ANALYZING THE PROBLEM



Plastic waste produced globally was **353 million metric tons** in 2019. This amount is projected to almost **triple by 2060**.

India's plastic waste mismanagement exceeds global averages by **40%**



3.4
million
tonnes

Plastic waste
produced in India

5th

Largest
generator

9.7%
CAGR

Rise in plastic
consumption

COMPANY OVERVIEW: PLASTIFY



**One Step Solution
for plastic waste**

Creating a **unified platform** for
plastic waste management



**Introducing Plastic
Credit System**

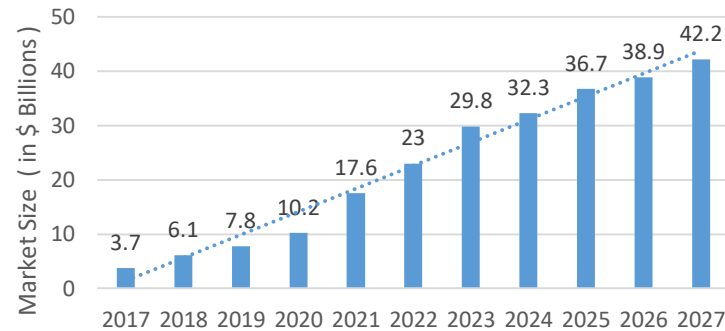
Offer a market-based mechanism
to **incentivize** reduction in plastic



**Connecting Plastic
Recycling & upcycling firms**

INDUSTRY ANALYSIS

Plastic Waste Management Industry



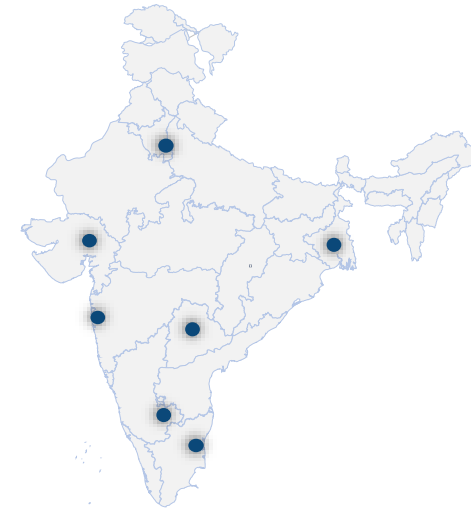
MARKET SIZE
2023: USD 29.8 Billion

13.2%
CAGR



Inadequate Waste Management & **'Throw away'** culture poses a significant obstacle
to expansion in the **Asia Pacific**

MAPPING THE ENTRY



1 Market Research

Identify sustainable
business hubs

2 Metropolitan Focus

Mumbai, Delhi-NCR,
Bangalore, etc.

3 Local Partnerships

Collaborate for a
smooth supply chain

Quality-Driven Brand Selection

Implementation of a comprehensive rating-based system
to optimize brand selection, bolstering quality assurance
and strategic decision-making

KEY PARTNERSHIPS



BUSINESS MODEL CANVAS

Preparing the canvas for Plastify

KEY PARTNERSHIPS	KEY ACTIVITIES	VALUE PROPOSITION	CUSTOMER RELATIONSHIPS	CUSTOMER SEGMENTS
Plastic Pickup Facilities: - Springer - Chintan India Recycling Facilities: - Plastic For Change India - Teracycle Upcycling Facilities: - reCharkha - UNIREC - Thaley 	- Providing Plastic Credits - Providing Upcycled sustainable corporate gifts 	- Introducing System Of Plastic Credits - Upcycling of wasted plastic by providing Tailored Solutions - Helping Corporates Take Responsibility - Provide a platform for upcycling firms & recycling facilities 	- Building Relationships with corporates - Upcycling firms - Recycling Facilities 	- Targeting Big corporations that are trying to improve their image and have a big CSR Fund - Targeting the Upper middle class and rich segment for Plastic Upcycled Gifts 
COST STRUCTURE		REVENUE STREAMS		
Plastic Collection organisations, Plastic Recycling Organisations, Upcycling Organisations, Distribution cost, Marketing Cost 		Dual Revenue Stream: A) Plastic Credits Sold to Corporates and Individuals B) Upcycled Gifts Sold to Corporates For Corporate Gifting 		

VALUE CHAIN ADDITION

Analyzing the value addition process of Plastify and the respective KPIs

VALUE CHAIN ADDITION



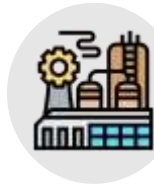
PLASTIC CREDITS

- Educating the clients in India about **plastic credits** and it's positive impact
- Taking orders from client to design a **tailored strategy**



PLASTIC COLLECTION

- Establishing **impact programs** for collection of plastic all over India
- Then further segregating **MLP plastic** to make fuel



RECYCLING FACILITIES

- Making **exclusive contracts** with recycling facilities
- Partnering with well established manufactures to **improve brand name**



UPCYCLED PRODUCT

- Partnering with **upcycling firms** who make innovative & pleasing products
- **Rebranding** those products and selling on **marked up prices**

KEY PERFORMANCE INDICATORS FOR 4 STEPS: PLASTIFY



Client
Awareness



Strategy
Delivery time



Plastic
Volume



Fuel Production
Rate



Contract
Fulfilment Rate



Supplier
Relationship



Upcycling
Rate



Carbon Footprint
Reduction

LOOKING AT NESTLE



Using Promotional tools
to make Corporates
aware of plastic credits

Analysing Nestles Plastic
credits need and making
a tailored strategy



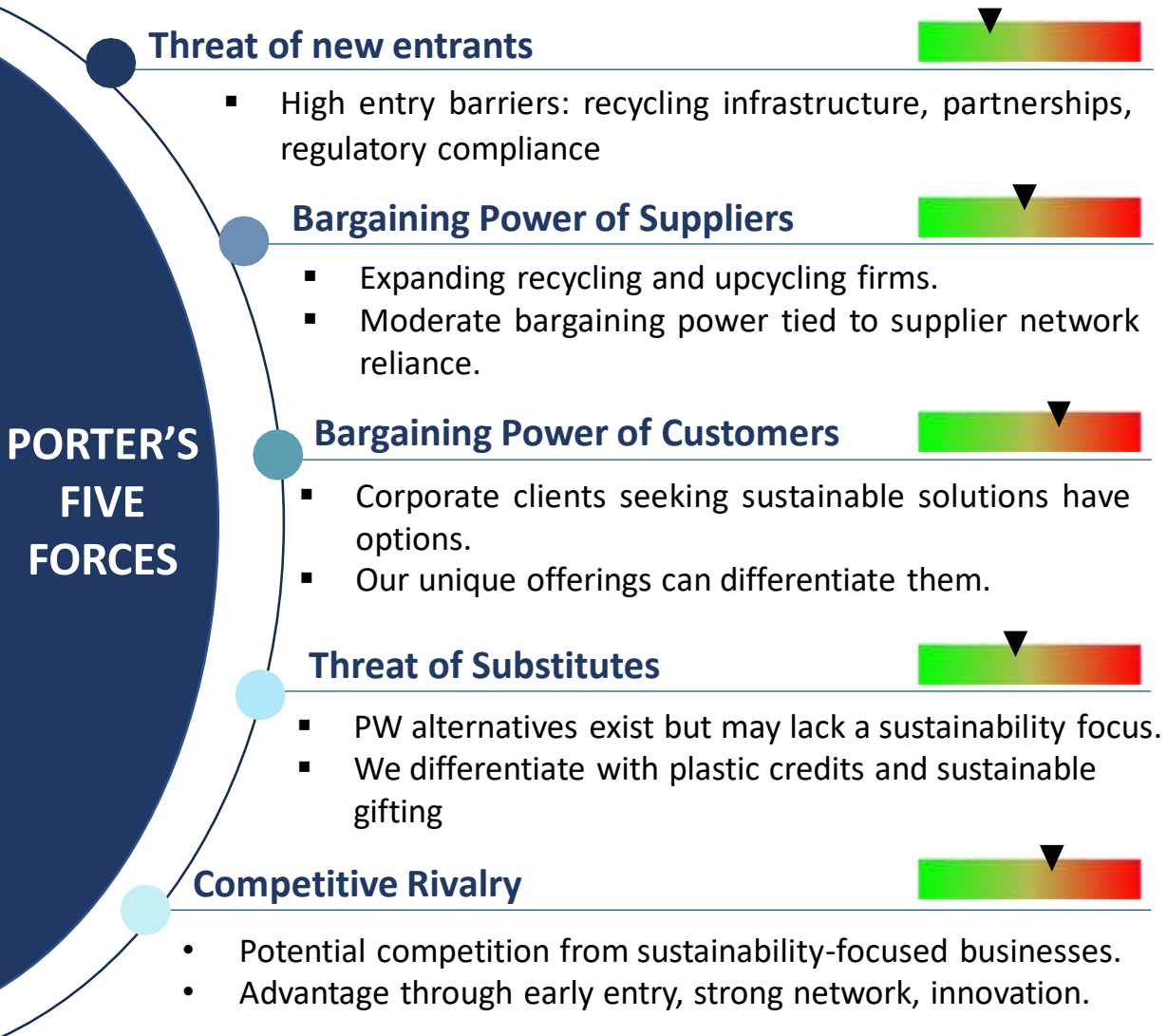
Deriving the price of the
plastic credits purchased

Further Reselling
Upcycled Gifts to nestle
for Corporate Gifting



COMPREHENSIVE STRATEGIC ANALYSIS

Exploring Porter's Five Forces and PESTLE Insights



PESTLE ANALYSIS

POLITICAL



Complying with the **Plastic Waste Management Rules 2022** and analyzing its impact

ECONOMIC



Diverse benefits: lower material costs, energy savings, job creation, reduced expenses.

SOCIAL



52% of urban India plan to increase spending on sustainable brands

TECHNOLOGICAL



Industry trends lean toward **evolving recycling methods**, balancing efficiency and quality considerations

LEGAL



Complying with **environmental regulations** and safeguarding IPRs to ensure protection

ENVIRONMENTAL



Environmental Implications like Plastic Consumption Soaring at **9.7% CAGR**



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USER EXPERIENCE: CLIENT TRANSACTIONS

Tracking the client journeys through the value chain and estimating the cost



Nestle is a **Swiss multinational** food and drink processing conglomerate corporation headquartered in **Vevey, Switzerland**. It has been the **largest publicly held food company** in the world, measured by revenue and other metrics, since 2014. Nestle has a **market cap of 313.09 Billion** and has one of the **strongest CSR Initiatives**.

Nestle wants to buy 6000 Plastic Credits i.e. removal of 6000 tons of PW



7*0.5
6*0.2
3*0.3



Market Cap
Geographic
Labour Cost

Sum 5.6
Category 1

Allocating points based on the credit metric

Refer to Appendix

Cost Allocation and Profit Assessment

Account Opening=500
Account Maintenance=500
1*100 7*500
3*400 5*500
5*500 3*2500
3*1000
Total revenue = 21,300



Cost of Each Plastic Credit 2.31
Cost of the Order 13,860
Profit = 7440

KEY PERFORMANCE INDICATORS

Plastic Credits Sold



Customer Retention



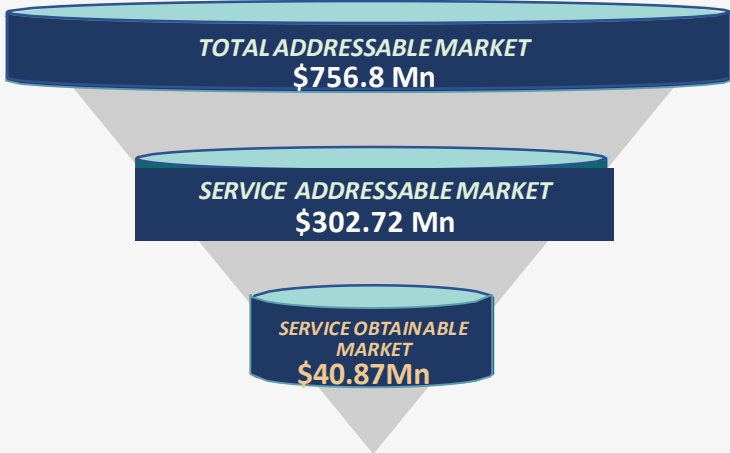
Environmental Impact



Partnership Expansion



Devising an obtainable market size for Plastify's Plastic Credit Ventures...



Refer to Appendix

PROFITABILITY ANALYSIS



Assumption: In this illustrative scenario, a corporation of Nestle's scale would likely place larger orders, further amplifying profitability



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MARKETING STRATEGIES

Devising a 3 Step Approach to Make the Market Presence Of Plastify be felt

ABOVE THE LINE STRATEGIES



Television Marketing

Commercials during **prime-time slots**, **targeted placements** during **news programs** to reach a wider audience.



NGO COMPETITIONS

Sponsoring **NGO competitions** where they compete against each other in order to gain recognition & monetary support.



Radio Marketing

Advertise on **national, regional radio channels**. Include ads during **peak listening hours** and sponsor popular programs.



Print Advertising

This can include **Environmental publications, sustainability column** in the newspaper and also many different studies & journals.



Outdoor Advertising

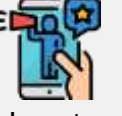
Channels such as **billboards, bus shelters, and subway ads** to reach commuters & people on the go.

BELOW THE LINE STRATEGIES



Loyalty Programs

Incentivize New customers by offering loyalty programs that provide **discount on plastic credits and plastic upcycled products**.



Partner with Influencers

Collaborate **with social media & micro-influencers** in the short content platform to promote the plastic upcycling, the benefits it offers.



Direct Mail Campaigns

Send **targeted direct mail** campaigns to potential customers, providing them with content on the benefits of plastic credits and upcycled products.



Leverage Community Engagement

Creating and fostering online communities focused plastic upcycling, where the consumer can be educated and can **engage with each other**

CATERING TO THE YOUNG AUDIENCE



DIGITAL MARKETING



OFFERING STYLISH UPCYCLED PRODUCTS



STARTING AN ONLINE CHALLENGE



REFERRAL PROGRAMS

PARTNERSHIP METRIC

Summarizing the potential upcycling partnerships



FACTORS	THAELY	UNIREC	reCharkha
PRODUCT GIVEN (on a scale of 1-5, 5 representing the best and 1 Being on a lower side)	4 Sneakers that are made entirely out of waste plastic Bags	3 Unirec products include trendy T-shirts, shirts, jackets, blazers, and trousers made from recycled plastic	3 Produces variety of products like cushion covers, baskets, etc
Projected Upscale (on a scale of 3, where 3 represents the longest period)	3 Due to it being a trendy product	1 Due to lack of designs	2 Due to a variety of products
Readiness for Collaborations	Keen on collaborations with brands	Wants to enter corporate sector	Produces products for gift baskets
Current Location	New Delhi, India	Mumbai, India	Pune, India
Current Scale	Moderate	Moderate	Large

APPENDIX: 1

Devising an Obtainable Market Size for Plastify

TAM SAM SOM CALCULATIONS

Plastify

USD \$ Mn

Recycling Plastic Industry In India 3,784.00

CAGR(%) 5.60%

Consumer Divide :

Residential Consumers 30.00%

Commercial Consumers 20.00%

Industrial Manufactures 20.00%

Municipalities and Government Entities 30.00%

Recycling Plastic Industry - Commercial Consumers 756.80

Total Addressable Market 756.80

Commercial Consumer-Divide :

Corporate Premises 40.00%

Retail and Service Providers 35.00%

Logistics and Industrial Operations 25.00%

Recycling Plastic Industry - Corporate 302.72

Service Addressable Market 302.72

Tier Divide : (Tiers divided based on the potential revenue % from each)

High 60.00%

Middle 30.00%

Low 10.00%

Potential Clientele 272.45

Potential Market Share 15.00%

Service Obtainable Market 40.87

APPENDIX: 2

Devising an Costing Strategy for Plastify

Material Group	Retail Value (Dol/kg)	15 % of value (Dol/kg)
ABS	0.92	0.14
ABS/MABS	0.35	0.05
ABS/PA	1.1	0.17
ASA	0.63	0.09
CA	0.65	0.1
Copolyester	1.8	0.27
EPDM	0.48	0.07
EVA	0.65	0.1
HIPS	1.05	0.16
LCP	1.13	0.17
PA	4.25	0.64
PA 10.10	2.95	0.44
PA 12	1.24	0.19
PA 4.6	1.01	0.15
PA 6	0.98	0.15
PA 6/10	0.95	0.14
PA 6/12	1.8	0.27
PA 6/6	0.65	0.1
PBT	1.31	0.2
PC	1.15	0.17
PET	1.28	0.19

Plastic Credit Costing	2023A	Rationale
Cost of Recycling Plastic (3000 Tonne)	\$ 7,500.00	According to Verra.org
Cost of Recycling Plastic (1 Ton)	\$ 2.50	
Retail Value of Plastic	\$ 1.25	
Retail Value of Recycled Plastic	\$ 0.19	
Total Cost of 1 Plastic Credit	\$ 2.31	

Plastic Credit Price	> 4	4>2	2>
Account Opening Fees	\$ 500.00	\$ 500.00	\$ 500.00
Account Maintenance Fees	\$ 500.00	\$ 500.00	\$ 500.00
<i>Price of Plastic Collection</i>			
1-100	\$ 1.00	\$ 2.00	\$ 3.00
101-500	\$ 3.00	\$ 4.00	\$ 5.00
501-1000	\$ 5.00	\$ 6.00	\$ 7.00
1001-1500	\$ 7.00	\$ 8.00	\$ 9.00
1501-2000	\$ 5.00	\$ 6.00	\$ 7.00
2501-5000	\$ 3.00	\$ 4.00	\$ 5.00
5001-10000	\$ 3.00	\$ 4.00	\$ 5.00
10001-100000	\$ 2.00	\$ 3.00	\$ 4.00
100001 and Above	\$ 2.00	\$ 3.00	\$ 4.00

APPENDIX: 3

Devising a credit metric



A	Goodwill Range (in \$Mn)	Points	B	Geographic Location	Points	C	Labour/Energy Rates	Points
	0-10	0		Europe	6		Asia	6
	11-100	1		North America	5		South America	5
	101-500	2		Asia	4		North America	4
	501-1000	3		Oceania	4		Europe	3
	1001-3000	4		South America	3		Oceania	3
	3001-5000	5						
	5001-6000	6						
	>6000	7						

APPENDIX: 4

Breakeven Analysis



BREAKEVEN ANALYSIS - PLASTIFY

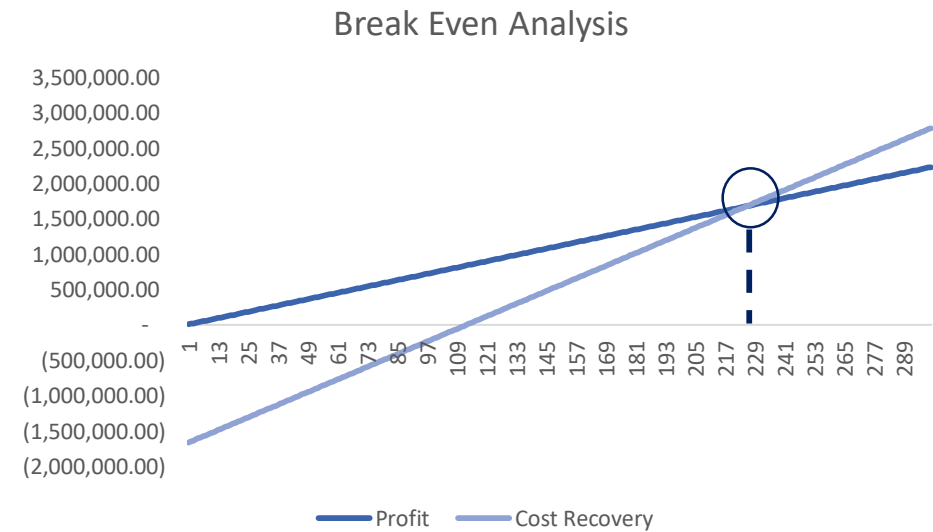
Costs Breakdown : (\$ Mn)

Operational Costs		0.49
<i>Rent or Lease Costs</i>	3.00%	0.06
<i>Insurance (Property, Liability, Workers' Compensation)</i>	1.00%	0.02
<i>Property Taxes</i>	5.00%	0.10
<i>Security and Alarm Systems</i>	5.00%	0.10
<i>Partnership Cost For Upskilling</i>	10.00%	0.20
Labor Costs		0.61
<i>Salaries and Wages</i>	20.00%	0.41
<i>Management Salaries</i>	10.00%	0.20
Infrastructure and Equipment Costs		0.10
<i>Utilities (Electricity, Water, Heating)</i>	3.00%	0.06
<i>Maintenance and Repairs</i>	2.00%	0.04
Miscellaneous Costs		0.47
<i>Office Supplies</i>	3.00%	0.06
<i>Licenses and Permits</i>	3.00%	0.06
<i>Marketing and Advertising</i>	15.00%	0.31
<i>Other General Administrative Expenses</i>	2.00%	0.04
Total Estimated Cost		1.68

Particulars	Amount
Profit	7,440.00
Total Fixed Cost	16,80,000.00
Break Even Orders	226
Break Even Plastic Credit	13,54,839

¹ Taking Average Order Value as 6000 Plastic Credit

² Company is from Category 1



APPENDIX: 5

Cash Flow Analysis



Years	Cashflow Projections					
	2023E	2024E	2025E	2026E	2027E	2028E
Cashflow Projections(\$ Mn)						
Revenues						
Estimated Revenue	2.04	3.10	4.16	5.21	6.27	7.32
CAGR	5.60%					
Cost						
Operational Costs	0.49	0.51	0.54	0.57	0.60	0.63
Labor Costs	0.61	0.66	0.70	0.75	0.80	0.86
Infrastructure and Equipment Costs	0.10	0.10	0.11	0.11	0.11	0.11
Miscellaneous Costs	0.47	0.50	0.54	0.58	0.62	0.66
Cash Flow	0.37	1.32	2.27	3.21	4.14	5.07

NPV AND IRR CALCULATIONS							
	2024E	2025E	2026E	2027E	2028E		
Year	1	2	3	4	5	Discount Rate	8.00%
Cashflows	1.32	2.27	3.21	4.14	5.07	TV	40.53
Disocunt Factor	1.08	1.17	1.26	1.36	1.47	PV of TV	25.54
Present Value(P.V)	1.22	1.94	2.55	3.04	3.45	NPV	37.75